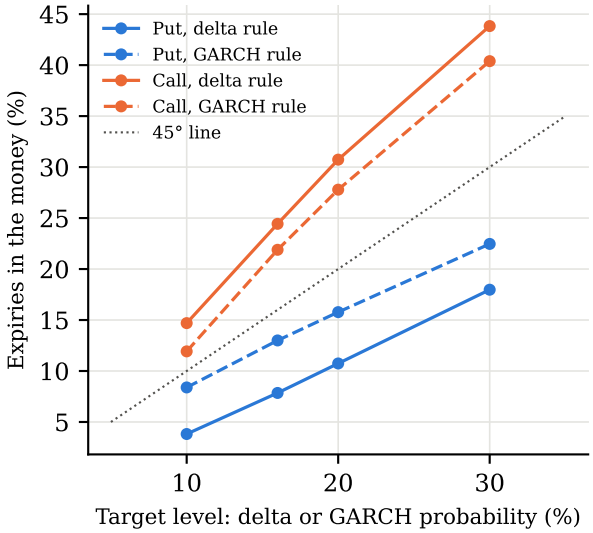
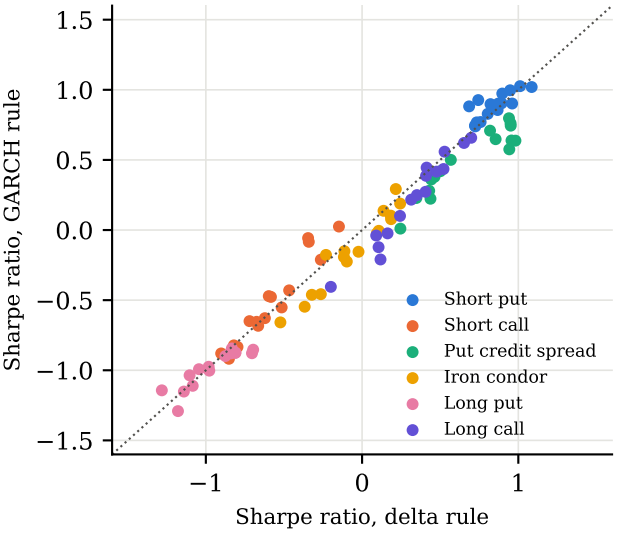

Put, delta rule
Put, GARCH rule
Call, delta rule
Call, GARCH rule
45° line
Expiries in the money (%)
45
40
35
30
25
20
15
10
5
10
20
30
Target level: delta or GARCH probability (%)


Short put
Short call
Put credit spread
Iron condor
Long put
Long call
Sharpe ratio, GARCH rule
1.5
1.0
0.5
0.0
−0.5
−1.0
−1.5
−1
0
1
Sharpe ratio, delta rule